Registration number: 05656171

Howden Joinery Properties Limited

Annual Report and Financial Statements

for the Period from 31 December 2017 to 29 December 2018

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Howden Joinery Properties Limited

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Howden Joinery Properties Limited

Company Information

Directors	Theresa Keating
	Mark Robson
	Andy Witts
	Jim McManus
Company secretary	Forbes McNaughton
Registered office	40 Portman Square London W1H 6LT
Auditor	Deloitte LLP 1 New Street Square London United Kingdom EC4A 3HQ

Howden Joinery Properties Limited

Strategic Report for the Period from 31 December 2017 to 29 December 2018

The directors present their strategic report for the period from 31 December 2017 to 29 December 2018.

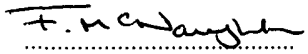
The Company's principal activity is described in the Directors' Report, which is located immediately below this Strategic Report. The Company's financial Key Performance Indicators are as shown in the Profit and Loss Account and Balance Sheet. We do not consider there to be any non-financial Key Performance Indicators relevant to the Company, other than those listed in the Group annual report, as detailed in the paragraph immediately below.

The Group manages its operations on a Group basis and therefore prepares a consolidated group annual report and accounts, including a consolidated strategic report. Pursuant to Section 414(A) (4) of the Companies Act 2006 (Strategic Report and Directors' Report) Regulations 2013, which provides that a group strategic report may give greater emphasis to the matters that are significant to the undertakings included in the consolidation when taken as a whole, the following information in relation to the Company can be found in the Group annual report on the pages listed:

- Fair review of the business (pgs 27-31)
- Description of the principal risks and uncertainties facing the Group and its subsidiary undertakings (pgs 32-37)
- Financial and non-financial KPIs (pgs 24-26)
- Future developments (pgs 8, 20-23, 30)
- Information about environmental matters, social, community and human rights issues (pgs 42-57)
- Description of culture, purpose, market, business model and strategy (pgs 10-17)
- Information in relation to Group employees, including gender statistics, employee involvement and Group policy on the employment of disabled persons (pgs 75, 113)

This report is available as part of the Group's Annual Report which is available at http://www.howdenjoinerygroupplc.com/ and which does not form part of this report.

Approved by the Board on 3 April 2019 and signed on its behalf by:



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Forbes McNaughton
Company secretary

Howden Joinery Properties Limited

Directors' Report for the Period from 31 December 2017 to 29 December 2018

The directors present their annual report and the audited financial statements for the period from 31 December 2017 to 29 December 2018.

Directors
The directors who held office during the period, were as follows:

Theresa Keating

Mark Robson

Andy Witts

Matthew Ingle (resigned 2 April 2018)

Jim McManus

Principal activity and employee information
The principal activity of the company is to manage properties occupied by other Group companies.

The Company had no employees and no staff costs during the current or prior period.

Political donations
The Company did not make any political donations in the current or prior period.

Going concern
After making enquiries and taking into consideration the profitability and financial position of the Company, the directors have formed a judgement, at the time of approving the financial statements, that there is a reasonable expectation that the Company has adequate resources to continue in operational existence for the foreseeable future based on a written commitment of financial support from its ultimate parent company, Howden Joinery Group Plc. The directors continue to adopt the going concern basis in preparing the financial statements.

Disclosure of information to the auditor
Each director has taken steps that they ought to have taken as a director in order to make themselves aware of any relevant audit information and to establish that the company's auditor is aware of that information. The directors confirm that there is no relevant information that they know of and of which they know the auditor is unaware.

Reappointment of auditor
Deloitte LLP have indicated their willingness to be reappointed for another term and will be deemed to be reappointed in accordance with s485 - 488 of the Companies Act 2006.

Approved by the Board on 3 April 2019 and signed on its behalf by:

F. McNaughton
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Forbes McNaughton
Company secretary

Howden Joinery Properties Limited

Statement of Directors' Responsibilities

The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law), including FRS 101 'Reduced Disclosure Framework'. Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Independent Auditor's Report to the Members of Howden Joinery Properties Limited

Report on the audit of the financial statements

Opinion

In our opinion the financial statements of Howden Joinery Properties Limited (the "Company"):

- give a true and fair view of the state of the Company's affairs as at 29 December 2018 and of its profit for the period then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice including Financial Reporting Standard 101 "Reduced Disclosure Framework"; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

We have audited the financial statements of the Company for the period from 31 December 2017 to 29 December 2018, which comprise the Profit and Loss Account, Statement of Comprehensive Income, Balance Sheet, Statement of Changes in Equity, and Notes to the Financial Statements, including a summary of significant accounting policies.

The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including Financial Reporting Standard 101 'Reduced Disclosure Framework' (United Kingdom Generally Accepted Accounting Practice).

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report.

We are independent of the Company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the Financial Reporting Council ("FRC")'s Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Conclusions relating to going concern

We are required by ISAs (UK) to report in respect of the following matters where:

- the directors' use of the going concern basis of accounting in preparation of the financial statements is not appropriate; or
- the directors have not disclosed in the financial statements any identified material uncertainties that may cast significant doubt about the company's ability to continue to adopt the going concern basis of accounting for a period of at least twelve months from the date when the financial statements are authorised for issue.

We have nothing to report in respect of these matters.

Other information

The directors are responsible for the other information. The other information comprises the information included in the annual report, other than the financial statements and our auditor's report thereon. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether there is a material misstatement in the financial statements or a material misstatement of the other information. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

Independent Auditor's Report to the Members of Howden Joinery Properties Limited

We have nothing to report in respect of these matters.

Responsibilities of directors

As explained more fully in the Statement of Directors' Responsibilities, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

A further description of our responsibilities for the audit of the financial statements is located on the Financial Reporting Council's website at: www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

Report on other legal and regulatory requirements

Opinions on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the Strategic Report and Directors' Report for the financial period for which the financial statements are prepared is consistent with the financial statements; and
- the Strategic Report and Directors' Report have been prepared in accordance with applicable legal requirements.

In the light of the knowledge and understanding of the company and its environment obtained in the course of the audit, we have not identified material misstatements in the Strategic Report and the Directors' Report.

Matters on which we are required to report by exception

Under the Companies Act 2006 we are required to report in respect of the following matters if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

We have nothing to report in respect of these matters.

Howden Joinery Properties Limited

Independent Auditor's Report to the Members of Howden Joinery Properties Limited

Use of our report
This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Claire Faulkner

Claire Faulkner (Senior Statutory Auditor)
For and on behalf of Deloitte LLP, Statutory Auditor

London
United Kingdom

3 April 2019

Howden Joinery Properties Limited

Profit and Loss Account for the Period from 31 December 2017 to 29 December 2018

	Note	2018 £ 000	2017 £ 000
Turnover	4	56,366	53,759
Cost of sales		(50,110)	(47,693)
Gross profit		6,256	6,066
Administrative expenses		(4,163)	(3,961)
Operating profit	5	2,093	2,105
Interest payable and similar charges	6	-	(573)
Profit before tax		2,093	1,532
Tax on profit on ordinary activities	8	(808)	(917)
Profit for the period		1,285	615

The above results were derived from continuing operations.

Howden Joinery Properties Limited

Statement of Comprehensive Income for the Period from 31 December 2017 to 29 December 2018

	2018 £ 000	2017 £ 000
Profit for the period	1,285	615
Total comprehensive income for the period	1,285	615

The notes on pages 12 to 20 form an integral part of these financial statements.

Howden Joinery Properties Limited

(Registration number: 05656171)
Balance Sheet as at 29 December 2018

	Note	29 December 2018 £ 000	30 December 2017 £ 000
Fixed assets			
Property, plant and equipment	9	30,959	29,951
Current assets			
Debtors	10	110,637	142,601
Creditors: Amounts falling due within one year			
Trade and other payables	14	(139,424)	(171,123)
Income tax liability	8	(965)	(934)
Creditors: Amounts falling due within one year		(140,389)	(172,057)
Net current liabilities		(29,752)	(29,456)
Total assets less current liabilities		1,207	495
Creditors: Amounts falling due after more than one year			
Deferred tax liabilities	8	79	(11)
Provisions for liabilities	13	(1)	(250)
Net assets		1,285	234
Capital and reserves			
Called up share capital	11	-	-
Profit and loss account		1,285	234
Shareholders' funds		1,285	234

Approved by the Board on 3 April 2019 and signed on its behalf by:

Theresa Keating
Director

The notes on pages 12 to 20 form an integral part of these financial statements.

Howden Joinery Properties Limited

Statement of Changes in Equity for the Period from 31 December 2017 to 29 December 2018

	Share capital £ 000	Retained earnings £ 000	Total £ 000
At 31 December 2017	-	234	234
Profit for the period	-	1,285	1,285
Total comprehensive income	-	1,285	1,285
Dividends	-	(234)	(234)
At 29 December 2018	-	1,285	1,285

	Share capital £ 000	Retained earnings £ 000	Total £ 000
At 25 December 2016	-	(381)	(381)
Profit for the period	-	615	615
Total comprehensive income	-	615	615
At 30 December 2017	-	234	234

The notes on pages 12 to 20 form an integral part of these financial statements.

Howden Joinery Properties Limited

Notes to the Financial Statements for the Period from 31 December 2017 to 29 December 2018

1 General information

The company is a private company limited by share capital, incorporated and domiciled in England.

The address of its registered office is:
40 Portman Square
London
W1H 6LT
England

These financial statements were authorised for issue by the Board on 3 April 2019.

2 Accounting policies

Summary of significant accounting policies and key accounting estimates
The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the periods presented, unless otherwise stated.

Basis of preparation
These financial statements were prepared in accordance with Financial Reporting Standard 101 Reduced Disclosure Framework. They are prepared on the historical cost basis.

Summary of disclosure exemptions
As permitted by FRS 101, the Company has taken advantage of the disclosure exemptions available under that standard in relation to business combinations, share-based payment, non-current assets held for sale, financial instruments, capital management, presentation of comparative information in respect of certain assets, presentation of a cash-flow statement, standards not yet effective, impairment of assets and related party transactions.

Where relevant, equivalent disclosures have been given in the group accounts of Howden Joinery Group Plc. These group accounts are available to the public and can be obtained from this company's registered office or at http://www.howdenjoinerygroupplc.com/investors/financial-reporting/reports/index.asp.

Going concern
The financial statements have been prepared on a going concern basis. This includes support from its ultimate parent company, as noted in the Directors' Report.

Exemption from preparing group accounts
The financial statements contain information about Howden Joinery Properties Limited as an individual company and do not contain consolidated financial information as the parent of a group.
The company is exempt under section 400 of the Companies Act 2006 from the requirement to prepare consolidated financial statements as it and its subsidiary undertakings are included by full consolidation in the consolidated financial statements of its parent, Howden Joinery Group Plc, a company incorporated in England.

Changes in accounting policy
None of the standards, interpretations and amendments effective for the first time from 31 December 2017 have had a material effect on the financial statements.

2 Accounting policies (continued)

Revenue recognition
Revenue comprises the fair value of the consideration received or receivable for the sale of goods and provision of services in the ordinary course of the company's activities. Revenue is shown net of sales/value added tax, returns, rebates and discounts and after eliminating sales within the company.

The company recognises revenue when:
The amount of revenue can be reliably measured;
it is probable that future economic benefits will flow to the entity;
and specific criteria have been met for each of the company activities.

Finance income and costs policy
Interest income is recognised in the income statement as it accrues, using the effective interest method.

Tax
The tax expense for the period comprises current and deferred tax. Tax is recognised in profit or loss, except that a change attributable to an item of income or expense recognised as other comprehensive income is also recognised directly in other comprehensive income.

The current income tax charge is calculated on the basis of tax rates and laws that have been enacted or substantively enacted by the reporting date in the countries where the company operates and generates taxable income.

Deferred income tax is recognised on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements and on unused tax losses or tax credits in the company. Deferred income tax is determined using tax rates and laws that have been enacted or substantively enacted by the reporting date.

The carrying amount of deferred tax assets are reviewed at each reporting date and a valuation allowance is set up against deferred tax assets so that the net carrying amount equals the highest amount that is more likely than not to be recovered based on current or future taxable profit.

Tangible assets
Property, plant and equipment is stated in the statement of financial position at cost, less any subsequent accumulated depreciation and subsequent accumulated impairment losses.

The cost of property, plant and equipment includes directly attributable incremental costs incurred in their acquisition and installation.

Depreciation
Depreciation is charged on a straight line basis so as to write off the cost of assets, other than land and properties under construction over their estimated useful lives, as follows:

Asset class	Depreciation method and rate
Plant, machinery and vehicles	3 - 20 years
Leasehold property	the period of the lease, or the individual asset's life if shorter
Fixtures and fittings	2 - 15 years

2 Accounting policies (continued)

Trade receivables
Trade receivables are amounts due from customers for merchandise sold or services performed in the ordinary course of business. If collection is expected in one year or less (or in the normal operating cycle of the business if longer), they are classified as current assets. If not, they are presented as non-current assets.

Trade receivables are recognised initially at the transaction price. They are subsequently measured at amortised cost using the effective interest method, less provision for impairment. A provision for the impairment of trade receivables is established when there is objective evidence that the company will not be able to collect all amounts due according to the original terms of the receivables.

Trade payables
Trade payables are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Accounts payable are classified as current liabilities if payment is due within one year or less (or in the normal operating cycle of the business if longer). If not, they are presented as non-current liabilities.

Trade payables are recognised initially at the transaction price and subsequently measured at amortised cost using the effective interest method.

Provisions
Provisions are recognised when the company has a present obligation (legal or constructive) as a result of a past event, it is probable that the group will be required to settle that obligation and a reliable estimate can be made of the amount of the obligation.

Provisions are measured at the directors' best estimate of the expenditure required to settle the obligation at the reporting date and are discounted to present value where the effect is material.

Share capital
Ordinary shares are classified as equity. Equity instruments are measured at the fair value of the cash or other resources received or receivable, net of the direct costs of issuing the equity instruments. If payment is deferred and the time value of money is material, the initial measurement is on a present value basis.

Dividends payable
Dividend distribution to the company's shareholders is recognised as a liability in the company's financial statements in the period in which the dividends are approved by the company's shareholders.

3 Critical accounting judgements and key sources of estimation uncertainty

There are no critical accounting judgements or key sources of estimation uncertainty which impact the application of policies and amounts reported in these financial statements.

4 Turnover

The analysis of the company's turnover for the period from continuing operations is as follows:

4 Turnover (continued)

	2018 £ 000	2017 £ 000
Rendering of services	56,289	53,698
Other revenue	77	61
	56,366	53,759

5 Operating profit

Arrived at after charging/(crediting)

	2018 £ 000	2017 £ 000
Depreciation expense	3,271	3,127
Operating lease expense - property	48,103	45,837

6 Interest payable and similar charges

	2018 £ 000	2017 £ 000
Interest on bank overdrafts and borrowings	-	2
Interest paid to group undertakings	-	571
	-	573

7 Auditor's remuneration

	31 December 2017 to 29 December 2018 £ 000	25 December 2016 to 30 December 2017 £ 000
Audit of the financial statements	13	12

8 Income tax

Tax charged/(credited) in the income statement

	31 December 2017 to 29 December 2018 £ 000	25 December 2016 to 30 December 2017 £ 000
Current taxation		
UK corporation tax	990	960
UK corporation tax adjustment to prior periods	(92)	10
	898	970
Deferred taxation		
Current year	(104)	(49)
Adjustment in respect of prior years	14	(4)
Total deferred taxation	(90)	(53)
Tax expense in the income statement	808	917

8 Income tax (continued)

The tax on profit before tax for the period is not higher than the standard rate of corporation tax in the UK (2017 - higher than the standard rate of corporation tax in the UK) of 19% (2017 - 19.25%).

The differences are reconciled below:

	2018 £ 000	2017 £ 000
Profit before tax	2,093	1,532
Corporation tax at standard rate	398	295
Increase (decrease) in current tax from adjustment for prior periods	(77)	6
Increase (decrease) from effect of expenses not deductible in determining taxable profit (tax loss)	487	610
Other tax effects for reconciliation between accounting profit and tax expense (income)	-	6
Total tax charge	808	917

Deferred tax

Deferred tax movement during the period:

	At 31 December 2017 £ 000	Recognised in income £ 000	At 29 December 2018 £ 000
Provisions	(62)	-	(62)
Accelerated tax depreciation	73	(91)	(17)
Net tax assets/(liabilities)	11	(91)	(79)

Deferred tax movement during the prior period:

	At 25 December 2016 £ 000	Recognised in income £ 000	At 30 December 2017 £ 000
Provisions	(62)	-	(62)
Accelerated tax depreciation	126	(52)	73
Net tax assets/(liabilities)	64	(52)	11

The headline UK corporation tax rate was 20% up until 1 April 2017, when it reduced to 19%. This is due to fall to 17% with effect from 1 April 2020. The effect of these rate reductions has been reflected in the deferred tax balances in the financial statements.

9 Property, plant and equipment

	Land and buildings £ 000	Assets under construction £ 000	Total £ 000
Cost or valuation			
At 31 December 2017	47,163	279	47,442
Additions	4,039	240	4,279
Disposals	(846)	-	(846)
Transfers	239	(240)	(1)
At 29 December 2018	50,595	279	50,874
Depreciation			
At 31 December 2017	17,490	-	17,490
Charge for the period	3,271	-	3,271
Eliminated on disposal	(846)	-	(846)
At 29 December 2018	19,915	-	19,915
Carrying amount			
At 29 December 2018	30,680	279	30,959
At 30 December 2017	29,672	279	29,951

9 Property, plant and equipment (continued)

Included within the net book value of land and buildings above is £691,705 (2017 - £700,336) in respect of freehold land and buildings and £29,988,736 (2017 - £28,972,055) in respect of short leasehold land and buildings.

10 Trade and other debtors

	29 December 2018 £ 000	30 December 2017 £ 000
Trade debtors	43	293
Receivables from related parties	97,013	129,415
Prepayments	11,046	10,090
Other Trade debtors	2,535	2,803
	110,637	142,601

11 Share capital

The Company's share capital at the current and prior period end consisted of 1 £1 ordinary share

Allotted, called up and fully paid shares

	29 December 2018		30 December 2017	
	No.	£	No.	£
Ordinary shares of £1 each	1	1	1	1

12 Obligations under leases and hire purchase contracts

Operating leases

The total future value of minimum lease payments is as follows:

	29 December 2018 £ 000	30 December 2017 £ 000
Within one year	47,978	41,469
In two to five years	149,433	128,872
In over five years	93,276	77,736
	290,687	248,077

13 Provisions

	Onerous contracts £ 000	Total £ 000
At 31 December 2017	250	250
Additional provisions	164	164
Provisions used	(342)	(342)
Unused provision reversed	(71)	(71)
At 29 December 2018	1	1

14 Trade and other payables

	29 December 2018 £ 000	30 December 2017 £ 000
Trade payables	987	981
Accrued expenses	13,664	12,191
Amounts due to related parties	124,773	157,951
	139,424	171,123

15 Parent and ultimate parent undertaking

The company's immediate parent is Howden Joinery Group Plc.

The ultimate parent, who produces consolidated financial statements which include this company, is Howden Joinery Group Plc.

The most senior parent entity producing publicly available financial statements, and the only other entity who produces consolidated financial statements which include this company, is Howden Joinery Group Plc. These financial statements are available upon request from 40 Portman Square, London, W1H 6LT, or http://www.howdenjoinerygroupplc.com/investors/financial-reporting/reports/index.asp .

The ultimate controlling party is Howden Joinery Group Plc.